DRN-3606995

The complaint

Miss M complains about Ageas Insurance Limited's handling of a claim she made under her home insurance policy.

What happened

Miss M has home insurance underwritten by Ageas. She made a series of claims in late 2019 and early 2020. These related to escapes of water in her bathroom (two claims), a burglary and an escape of water from her boiler.

This complaint relates to the escapes of water from Miss M's bathroom. Miss M is aware that any complaints she has about the handling of the other claims should be made separately – to Ageas and then to us if she's not satisfied with Ageas' responses.

Ageas have used a number of agents to handle Miss M's claims, but for the sake of simplicity, I'll refer to actions taken by those agents as Ageas' actions.

After the first escape of water, in August 2019, repairs were carried out to stop the leak – seals were repaired and/or replaced around the waste pipe from the bath - and to rectify damage to the ceiling and walls in the room beneath the bathroom.

Miss M says the company which carried out drying in the bathroom said that the bath should be removed temporarily so that the timbers under the floor could be inspected. This hadn't yet been done when a second escape of water occurred in February 2020. It appears Ageas had agreed that the bath should be removed and the timbers inspected, but hadn't yet arranged a date and time for that to happen with Miss M.

Miss M says that if the bath had been removed, other problems with the pipework underneath her bath would have been discovered and the second escape of water wouldn't have happened.

She also says the second leak caused extensive damage to her property, rendering it uninhabitable. She says the leak affected the electrics in her house and she had no power in her kitchen. And she said the floor in the bathroom was structurally unstable and unsafe.

Miss M says the loss adjustor agreed she should move into alternative accommodation. Which she did. She took hotel rooms in the local area from mid-February and later moved into a holiday let for a number of weeks.

There was much discussion between Miss M and Ageas about the alternative accommodation and about the repairs that were necessary following the second escape of water.

The nature and substance of that debate is well-known to both parties, so I don't need to go into detail here.

Suffice to say that Ageas sent a surveyor to inspect the property. He was accompanied on that visit by a friend of Miss M's who is also a loss adjustor.

After receiving the surveyor's report, Ageas proposed to settle the claim by:

- paying for Miss M's alternative accommodation up to around 9 March 2020 but not after that date;
- paying £500 as a cash settlement for repairs to the bathroom; and
- paying Miss M £200 in compensation for the trouble and upset cause by some confusion in communications and by poor service.

Miss M wasn't happy with the proposed outcome and complained to Ageas and then to us. She wants Ageas to pay all of her alternative accommodation costs. She also wants Ageas to pay for repairs she's had carried out to rectify damage which she says was caused by the second escape of water and which cost considerably more than the £500 settlement Ageas paid her.

Miss M believes Ageas should also pay for repairs to her electrics. She's unhappy she's been charged two excesses for the escape of water claims in 2020. She says she was told by the loss adjustor that they'd be treated as one claim.

She also thinks Ageas service has been very poor – and involved too many different agents and loss adjustors. She says the stress she's been caused has exacerbated the illness she was suffering from at the time. And she thinks it's wrong that Ageas refuse to pay VAT on invoices submitted for repair work.

Our investigator looked into it and didn't think Ageas needed to do anything more for Miss M. Miss M disagreed and asked for a final decision from an ombudsman.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

I'm not upholding any element of this complaint. I'll explain why I've come to that conclusion in more detail below and I'll deal with each separate issue Miss M has raised.

However, it's worth saying at the outset that where we receive a complaint of this nature, our approach is always to go first and foremost to what the experts involved in the case have had to say – whether they be loss adjustors appointed by the business, loss assessors appointed by the customer, surveyors or tradesmen. And that's exactly what I've done in this particular case.

I'll deal with some of the less complex aspects of the complaint first and turn to the more substantive issues later.

The excesses

Miss M has effectively made three separate claims in 2020. One relating to the escape of water in the bathroom. One relating to the escape of water from the boiler. And one relating to the theft. They are in essence unrelated and unconnected, but for the fact that they all happened within a short space of time.

Miss M's policy terms set out very clearly that each separate claim will attract an excess fee. And those fees are set out in the schedule - £500 for each escape of water claim and £100 for most other types of claim, including theft.

Ageas have charged Miss M a total of £1,100 in excesses for the three claims. That's what the policy terms say they'll do and what they are reasonably entitled to so. Charging those three excesses is not unfair or unreasonable.

I can see from the evidence we have on file that the original loss adjustor involved in these claims appears to have believed that the two escapes of water (bathroom and boiler) could and should be treated as one claim. And he appears to have given Miss M that impression.

That was factually wrong. Ageas have admitted Miss M was misled by what she was told. But that doesn't mean they should now do what the original loss adjustor said they should do and charge only one excess.

It's fair and reasonable for them to compensate Miss M for her disappointed expectations. And I'm satisfied that – and other elements of poor service and/or poor communication – are covered by the £200 Ageas have already paid Miss M. I'll explain why Iv;e come to that conclusion in more detail later.

The VAT

It's standard practice that when insurers cash settle a claim, they won't pay the VAT element of any estimate or quotation unless and until they have proof that the required work has in fact been carried out by a VAT-registered company- and paid for.

That's not unreasonable or unfair. Customers may choose to carry out work themselves or get work done by individuals or firms that aren't VAT-registered. And in that case, if they paid the VAT element of the estimate, to put it as simply as I can, insurers would be giving money to customers which is not going to pay for the required repairs.

The Alternative Accommodation

There's been a lot of discussion about this between Miss M and Ageas. I'm going to try to simplify things as far as I can.

The original loss adjustor agreed with Miss M that she should be in alternative accommodation whilst her bath was removed to allow the proposed inspection of the timbers underneath the bathroom floor.

Whilst we can't know what was said in the verbal conversations between the loss adjustor and Miss M, I'm satisfied that the most natural reading of the email exchanges suggests it was reasonably – but not absolutely – clear from the outset that Ageas would pay for alternative accommodation *only* whilst the bath was removed. And that was because the house would be uninhabitable for that brief period only.

Ageas have accepted that the original communication wasn't absolutely and unequivocally clear. That's why they've agreed to pay for Miss M's accommodation up to around 9 March 2020.

From 9 March 2020 onwards, Ageas' agents – including the original loss adjustor – were absolutely clear that they did not think the house was uninhabitable when the bath wasn't removed – and that they wouldn't pay for alternative accommodation.

Miss M has said the house was uninhabitable for two reasons – which she gave at different times.

She said her friend the surveyor had inspected the house and said it was uninhabitable. That appears to have been partly because he thought the bathroom floor was unsound and unstable. He also described the house as resembling a building site.

Ageas have justifiably pointed out that at around the same time, Miss M was having extensive work done on the house which is not related to the escape of water claim. Although Miss M says that work was carried out earlier, it seems very likely to me that there must have been disruption in the house resulting from that work.

It would certainly not appear justified to describe the house (not the bathroom, I note) as a building site if the only disruption at the time was that caused by the escape of water in the bathroom.

The second reason Miss M gave for the house being uninhabitable was the failure of the electrics – particularly in the kitchen. She says this was due to the escapes of water in the bathroom, which affected light switches and wiring in the room below.

There's a slightly confused picture here because Miss M says an electrician got things sorted soon after the first escape of water (in August 2019) but they went off again a few days later. And when she reported this to the electrician, they never came back to the house.

That would suggest Miss M had no electricity – certainly not to some parts of the house – from August or early September 2019. But she only reported the issue to Ageas – as a justification for her moving out of the house into alternative accommodation – well after March 2020, when the dispute over alternative accommodation arose.

That doesn't seem to add up to me, but leaving that aside, I'll turn to the relevant expert opinions on the issues in Miss M's bathroom and the rest of the house.

Miss M says her electrician indicated that the problem with her electrics was caused by the escape of water in August 2019. Miss M hasn't provided any report from that electrician or any invoice setting out the work he carried out. Ageas asked her to contact the electrician again and obtain a report or other evidence, but that's not been forthcoming.

The surveyor who visited the house in May 2020 said the leaks in the bathroom were limited and short-lived. He noted the lack of any significant water damage on the ceilings or walls in the room below after the leak in February 2020.

He concluded that the problems with Miss M's electrics couldn't have been caused by the escape of water in February 2020 – or seemingly by the earlier leak.

He noted that there was a problem with damp at the property unrelated to the insured event(s), which might be the cause of the problem, but that an electrician might be better able to identify the root cause.

There is no evidence of any sort – and certainly none from any other expert – which might link the problems with Miss M's electrics to the escapes of water in her bathroom.

If Miss M could provide any such evidence, I have no doubt Ageas would be willing to consider it, but to date she hasn't done so. And it appears she's been asked or advised on a number of occasions to obtain information or evidence from her own electricians.

When he visited the property in May, Ageas' surveyor was also able to inspect the flooring and timbers beneath the bath and in the rest of the bathroom. Again, he concluded that any escape of water had been short-lived and insufficient to cause extensive damage.

He reported that Miss M's loss adjustor friend agreed that the instability in the bathroom floor that he'd previously noted was caused by the laminate flooring swelling after the leak – and not by any weakness in the floor itself or the supporting timbers.

The evidence we have on file also suggests the original loss adjustor had earlier inspected the floor and timbers in the bathroom, removing the bath panel to get access.

Although this wasn't the full bath removal and inspection Miss M says the drying company suggested (and which Ageas had agreed to arrange before the second leak occurred), it's another expert view that the bathroom floor was sound - and certainly hadn't suffered damage which would render the house uninhabitable.

Again, there is no competing evidence – expert or otherwise – to suggest the escapes of water made the bathroom unsafe or uninhabitable.

In making this decision, it's not my role to act as alternative loss adjustor and re-assess the claim. My role is to decide whether Ageas acted unreasonably or unfairly towards Miss M in making the decision they did based on the evidence they had at the time.

In assessing this claim, Ageas had strong expert evidence to suggest that the problems with the electrics weren't claim-related and that the bathroom had been usable throughout - and certainly not structurally unstable, as Miss M suggested.

In that context, it wasn't unreasonable for them to decline to pay for Miss M's alternative accommodation after around 9 March 2020. And I'm satisfied they made their position clear to Miss M by that date at the latest. If she then chose to pay to live elsewhere, that was her own choice, made in full knowledge of Ageas' position.

In short, I'm satisfied it was fair and reasonable, if not generous, for Ageas to pay for alternative accommodation until around 9 March 2020 – based on the fact that there was room for Miss M to have misinterpreted the earlier emails from the original loss adjustor.

I can't reasonably conclude that Ageas should pay for any alternative accommodation after that date, for the reasons I've set out above. In short, there's no evidence the house was uninhabitable. And Ageas made that clear to Miss M – and told her they wouldn't pay for any further alternative accommodation.

The cash settlement figure

Ageas have paid a cash settlement of £500 in relation to the February escape of water claim relating to the bathroom. This was based on the surveyor's report in May 2020, which specified and costed the claim-related works which should be carried out – including replacement of the bath panel and bathroom laminate flooring.

Miss M says that when her contractors stripped the bathroom, they discovered a leaking pipe (not the ones fixed by the plumber in August 2019 or February 2020), which caused more damage than the surveyor had been able to see - and which had been long-standing.

Miss M has provided photographs and a video which show the pipe in question. It does appear to have residue on the outside which might indicate a leak of some sort. However, again, there's no expert evidence to suggest how long-standing and/or serious the leak was.

What is clear is that the surveyor who inspected the property in May had access under the bath and may have been able to see the pipes. Even if not, he could and would have seen any serious damage associated with that alleged long-term and on-going leak. In fact, he took photographs which show that the boards and floor under the bath were dry at the time.

His photographs also show that a section of the floor underneath the bath had been covered with hardboard (also completely dry). That area corresponds to the area in a photograph Miss M has also sent which shows a hole in the floorboards beneath the pipes in question. She says the hole is proof of an on-going and long-standing leak.

To be frank, looking at both photographs, I suspect the hardboard was put there – possibly long before Miss M owned the property – because of the hole. If that hole had been caused by a leak in the pipes (which would also explain the residue on the pipes), it had likely been fixed before Miss M moved into the property.

The surveyor was also able to conclude that the floor and timbers were sound and stable – and that there was minimal damage to the room below the bathroom. If there had been a significant leak which was long-standing, there would have been extensive and very visible damage, which would undoubtedly have been observed far sooner.

On balance, and again looking at the expert evidence, it seems most likely that Miss M had two localised and relatively minor escapes of water in the bathroom – in August 2019 and February 2020. There was possibly a separate and presumably very slow on-going leak from a pipe behind and underneath the bath (which may have been fixed historically), but which – if it has persisted – had caused little or no damage.

The plumber who fixed the leaks after the two escapes of water has provided a report on what caused them – essentially, failures in the seals on the bath waste pipe in August 2019 and a different issue with an element of the pop-up plug / waste mechanism in February 2020. I note the plumber puts both these issues down to the old age and usage of the bath and the waste mechanisms.

Again, looking at all the available evidence, I can't conclude that Ageas' decision to offer a settlement for the repairs specified by the surveyor was in any way unfair or unreasonable.

Miss M has presented invoices for the work she actually had carried out. As she says, she spent considerably more than £500 – in fact, several thousands of pounds. Miss M doesn't say Ageas should pay those invoices in their entirety. She says they should cover some of the costs, although she isn't specific about which ones.

What is clear to me from looking at those invoices is that Miss M had her entire bathroom and toilet stripped and replaced. And that she had significant work done in the room downstairs.

There's clearly a lot of work covered by those invoices which is not related to the escape(s) of water. The surveyor said the claim-related work was replacement of a bath panel and the laminate flooring in the bathroom, plus some minor decoration downstairs.

I'd ask Miss M to bear in mind that what she'd be entitled to under her policy was repair and replacement to cover the claim-related damage (I've set out above why it's reasonable to suggest the surveyor's report from the visit in May lists those repairs and replacements in full). And that she'd be entitled to like-for-like replacement, rather than improvement.

In short, I'm satisfied Ageas have acted fairly and reasonably in paying an appropriate cash settlement for the works identified by the expert surveyor as necessary to repair the damage related to the two escapes of water in the bathroom. Again, I should stress, there is no other expert evidence to suggest that the escapes of water resulted in more extensive damage.

Miss M's trouble and upset

Ageas have paid Miss M £200 to compensate her for the trouble and upset she was caused by their failures in communication and service. Whilst Ageas weren't specific about what that payment was for, it's clear they accepted that the communication from the first loss adjustor wasn't optimal and left open a misinterpretation about the alternative accommodation.

They also accepted there were occasional delays in replying to Miss M when she raised queries about the claim. And it's not disputed that Miss M was told at first that the two claims would be treated as one – with one excess payable.

I can see that Miss M might have suffered some distress and inconvenience, particularly around the disappointed expectations about the alternative accommodation and the excess. And I appreciate that this may have been at a difficult time for Miss M given the health problems she says she was experiencing at the time.

However, I also have to bear in mind that Ageas did in fact pay for all of Miss M's alternative accommodation costs up until the point that they made their position clear – on the basis that there may have been a misunderstanding. And some of the difficulties in the communication between Miss M and Ageas have been the result of her failing to get back to them, or to provide the information they've requested.

Taking all of that into account, I'm satisfied that £200 is fair and reasonable compensation for Miss M's trouble and upset and I won't be asking Ageas to pay any more.

My final decision

For the reasons set out above, I don't uphold Miss M's complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Miss M to accept or reject my decision before 1 September 2022.

Neil Marshall
Ombudsman